



SEBI Grade A Economy

Previous Year Papers

Phase 2

2020-2025

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Preface

Dear Students,

We are pleased to present this recollected question paper with answer keys for the **SEBI Grade A Economy** subject, covering the past six years **from 2020 to 2025(Exam held 4 times)**. This document has been meticulously prepared to serve as a valuable resource for candidates preparing for the SEBI Grade A Phase 2 Exam.

By practising questions that have been actually asked in the examination, aspirants can gain clarity on the **exam pattern, difficulty level, and types of questions** likely to appear in the upcoming exam.

We wish you all the best in your exam preparation journey and hope that this document serves as a valuable asset in strengthening your performance and confidence.

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Disclaimer: While every effort has been made to ensure the accuracy and relevance of the questions and answer keys, minor variations in question wording or options may exist due to the memory-based nature of this compilation. Candidates are advised to use this document as a reference tool to enhance their comprehensive understanding of the syllabus and overall exam readiness for the **SEBI Grade A examination**.



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SEBI Grade A 2020 Phase 2 - Economy Recollected Questions

Q.1) If demand curve is negatively sloped, then Law of demand says that quantity demanded is related with _____

Options:

- A. Market
- B. Price
- C. People
- D. Both A and B
- E. None of the above

Q.2 The Phillips Curve is a relationship between _____

Options:

- A. Inflation and unemployment
- B. Inflation and quantity demand
- C. Quantity demand and price
- D. Demand and Supply
- E. None of the above

Q.3) From the following, select the correct phase of business cycle.

Options:

- A. Expansion, Recession, Trough, Recovery
- B. Recession, Trough, Recovery, Expansion
- C. Trough, Recession, Expansion, Recovery
- D. Recovery, Expansion, Recession, Trough
- E. Recession, Expansion, Trough, Recovery

Q.4) What is difference between M1 and M3 in money supply in India?

Options:

- A. Savings deposits with the Post Office savings bank
- B. Currency with the public
- C. Other deposits with RBI
- D. Time Deposits with the banking system
- E. None of the above

Q.5) Income and employment as per Keynes theory is determined by _____

Options:

- A. Price
- B. Aggregate Supply
- C. Aggregate Demand
- D. Effective Demand
- E. NONE OF THE ABOVE

Q.6) Which of the following constitutes fiscal deficit?

Options:

- A. Total expenditure
- B. Revenue received – total expenditure
- C. Loan expenditure
- D. Total revenue received + Recovered loan and other receipt – Total Expenditure
- E. Total Borrowings

Q.7) What is the difference between GVA at Basic Price and GDP?

Options:

- A. Investments
- B. Taxes and Subsidies
- C. Taxes
- D. Subsidies
- E. None of Above

Q.8) Which of the following will not affect Current Account Deficit?

Options:

- A. Capital Inflow
- B. Consumer Spending
- C. Forex Outflow
- D. Savings rate
- E. Natural Resources

**SEBI Grade A 2020
Phase 2 - Economy
Recollected
Questions
Answer Key**

Answer Key

Question	Answer	Question	Answer	Question	Answer
1	B	2	A	3	A
4	D	5	D	6	D
7	B	8	E		



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SEBI Grade A 2022 Phase 2 - Economy Recollected Questions

Q.1) Identify the Incorrect statement regarding NBFC.

Options:

- A. NBFCs do not form part of the payment and settlement system
- B. NBFC cannot issue cheques drawn on itself
- C. Deposit insurance facility of Deposit Insurance and Credit Guarantee Corporation is not available to depositors of NBFCs
- D. NBFC is a company registered under the Companies Act, 1956 engaged in the business of loans and advances, acquisition of shares/stocks/bonds/debentures/securities issued by Government
- E. NBFC can accept demand deposits

Q.2) Non-Plan Expenditure constitutes the biggest proportion of the government's total expenditure. Which of the following is not a non-planned expenditure? Options:

- A. Defense Expenditure
- B. Debt servicing
- C. Expenditure on Electricity generation
- D. Interest Payments
- E. Subsidies

Q.3) Which of the following defines the monetary base?

Options:

- A. The sum of currency in circulation and Bankers' deposits with the RBI.
- B. The sum of currency in circulation and the currency held by commercial banks.
- C. The sum of gold and foreign exchange held by the central bank
- D. The sum of real assets of the banking sector plus its net worth
- E. None of the above

Answer: (A) The sum of currency in circulation and Bankers' deposits with the RBI.

Q.3) Calculate National Income or NNP at Factor Cost (FC):

Particulars	Rs in Crores
GNP at Market Price	5069
Indirect Taxes	495
Subsidies	69
Consumption of Fixed Capital	626

Options:

- A. 4017
- B. 3025
- C. 4527
- D. 5500
- E. 4897

Q.4) Which of the following statements is incorrect regarding Phillips Curve?

Options:

- A. The Phillips Curve states that inflation and unemployment have an inverse relationship.
- B. The downward sloping curve of Philips Curve is generally held to be valid only in the short run.
- C. In the long run, Philips Curve is usually thought to be horizontal at the Non-Accelerating Inflation Rate of Unemployment (NAIRU).
- D. High inflation and High unemployment are because of recession
- E. None of the above

Q.5) Which of the following statements is incorrect regarding Monopolistic Competition?

Options:

- A. Monopolistic competition exists when there are large number of buyers and sellers.
- B. In the monopolistic competition, there is no barrier to entry and exit for the firms.
- C. Monopolistic competition has product differentiation and firms bear selling costs.
- D. Monopolistic Competition has less elastic demand than the perfect competition
- E. There is no excess capacity in the long run with normal profits

Q.7) Which of the following statements is correct if the demand function is $D = 18 - 3P$?

Options:

- A. Demand function shows the functional relationship between Quantity supplied for a commodity and its various Determinants.
- B. The quantity demanded is directly related to price of the product
- C. For the given Demand function, Maximum price is 6 and Demand curve is linear with slope - 3
- D. The above equation shows a curvilinear demand function.
- E. None of the above

Q.8) Find the incorrect option regarding the elasticity of commodities?

Options:

- A. Salt has perfectly elastic demand.
- B. Luxury goods have elastic demand
- C. Lifesaving drugs have perfectly inelastic demand
- D. A commodity with many substitutes has elastic demand
- E. None of the above

Q.9) Economic theory and good practice suggest that a government should run deficits during recessions — when tax revenues are low and government spending is high and deficits should be balanced by surpluses during booms and when spending needs are low. The theory which explains the process when the government try to align its expenditure with revenue is termed as ____.

Options:

- A. Fiscal Prudence
- B. Fiscal Deficit
- C. Fiscal Analysis
- D. Primary Deficit
- E. None of the above

Q.10) Which of the following is not the reason for demand pull inflation?

Options:

- A. Increase in Population
- B. Deficit financing
- C. Increase in Administered Price
- D. Over expansion of the Money Supply
- E. None of the above

Q.11) Which of the following is not correct w.r.t to monopoly?

Options:

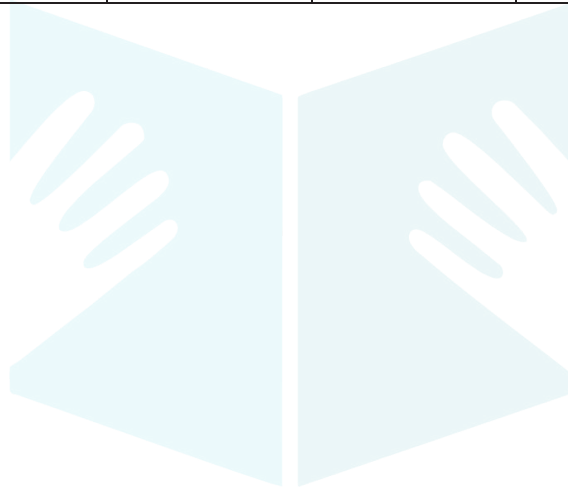
- A. A bilateral monopoly exists when a market has only one supplier and one buyer.
- B. Monopoly can lead to higher equilibrium price and lower equilibrium quantity, generating a larger welfare for monopolists than under perfect competition
- C. Monopolies have a downward sloping Demand Curve
- D. There is restriction of entry of new firms in the monopoly market
- E. Monopoly promotes perfect knowledge of prices and technology.



**SEBI Grade A 2022
Phase 2 - Economy
Recollected
Questions
Answer Key**

Answer Key

Question	Answer	Question	Answer	Question	Answer
1	E	2	C	3	A
4	A	5	D	6	E
7	C	8	A	9	A
10	C	11	E		



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SEBI Grade A 2024 Phase 2 - Economy Recollected Questions

Q1. Which of the following accurately describes the Say's Law of Market?

- A. Demand creates its own supply.
- B. Production of Goods(supply) creates its own demand
- C. Demand and supply both are determinants to growth
- D. Supply is created for the short run only
- E. Demand creates the supply to reduce the prices

Q2. Which of the following best describes the definition of National Income?

- A. The total Income earned by resident of a country.
- B. The total value of all goods produced within a country's borders during a specific time
- C. The Sum of all taxes collected by the government in a specific time
- D. The total value of imports and exports in a country's economy
- E. The sum of consumption and investment done by the resident of a country

Q3. What is the effect of a negative supply shock on the Philips curve?

- A. It causes Philips curve to shift to the right, indicating lower inflation and higher unemployment
- B. It causes Philips curve to shift to the left, indicating higher inflation and higher unemployment
- C. It causes Philips curve to become steeper indicating a higher tradeoff between inflation and unemployment
- D. It causes Philips curve to shift to the right, indicating higher inflation and higher unemployment
- E. It causes Philips curve to become flatter, indicating higher inflation and lower unemployment

Q4. Which of the following is the major determinant of Keynes' Consumption Function?

- A. Disposable income
- B. Interest rates
- C. Government spending
- D. Prices
- E. Investment

Q5. Which of the following statements best defines the trade deficit?

- A. Exports exceeded imports.
- B. When Government wants more receipts than the expenditure
- C. Imports are equal to the exports
- D. When the trade of goods is more than the trade of services
- E. Imports exceeding Exports

Q6. Which of the following clearly defines the fiscal deficit?

- A. Difference between the Government total expenditure and Government total revenue excluding borrowings
- B. Difference between the Government total expenditure and Government total revenue including borrowings
- C. Amount of money government borrows from international sources
- D. Difference between the Government income including the interest payments
- E. Difference between the government borrowings and expenditure excluding the interest payments

Q7. Which of the following is the main function of Monetary Policy?

- A. Interest stability
- B. Providing employment
- C. Taxation
- D. Government spending
- E. Price stability

Q8. Which of the following is considered as automatic stabilizer in the fiscal policy?

- A. Defense spending
- B. Infrastructure investment
- C. Corporate tax incentives
- D. Unemployment benefits
- E. Discretionary stimulus packages

Q9. Which of the following is an economic indicator of growth?

- A. Economic Development
- B. Increase in standard of living
- C. Real GDP
- D. Nominal GDP
- E. Human Development Index

Q10. Which of the following institution provides financial assistance to Government of member countries?

- A. World Bank
- B. International monetary fund
- C. United nations
- D. International financial cooperation
- E. International Development Association

Q11. In Monopolistic competition, product differentiation is done with the aim of _____

- A. Consumer surplus
- B. Brand loyalty
- C. Cost reduction
- D. Market sharing equality
- E. Barriers to entry

Q12. Which of the following causes the demand-pull inflation?

- A. Increase in Government Expenditure
- B. Decrease in the Cost of Raw Materials
- C. Increase in Interest Rates
- D. Reduction in Consumer Spending
- E. Decline in Government Spending

Q13. Which of the following models considers economic growth depends on the availability of resources?

- A. Neo-Malthusian model
- B. Harrod- Domar model
- C. Ricardian equivalence model
- D. Absolute advantage model
- E. Big push model

Q14. According to the Economic Survey 2023-24, which of the following areas saw a sharp rise?

- A. Exports of agricultural products
- B. Food Inflation
- C. Durable Goods
- D. Unemployment rate
- E. Out-of-Pocket Health Expenditure

Q15. Scarce factor is also known as _____

- A. Key factor
- B. Labor factor
- C. Capital factor
- D. Institutional factor
- E. Structural factor

Q16. When inflation rises, it implies that _____

- A. The value of money decreases
- B. The value of money increases
- C. The value of the money increases first and then decreases
- D. The value of money is very fluctuating.
- E. None of the above

**SEBI Grade A 2024
Phase 2 - Economy
Recollected
Questions
Answer Key**

Answer Key

Question	Answer	Question	Answer	Question	Answer
1	B	2	A	3	D
4	A	5	E	6	A
7	E	8	D	9	C
10	B	11	B	12	A
13	B	14	B	15	A
16	A				

SEBI Grade A 2025 Phase 2 - Economy Recollected Questions

Q1. Which of the following statements is or are correct regarding Monopolistic Competition?

1. There is only one seller and significant barriers to entry.
 2. Firms are price takers due to homogeneous products and perfect information.
 3. A few firms are interdependent and strategic decision-making leads to outcomes such as price rigidity.
 4. Large number of firms which sell differentiated products.
- A. 1 and 2 only
B. 2 and 3 only
C. 3 only
D. 4 only
E. 1 and 4 only

Q2. Calculate the Money Multiplier with the given data:

1. Cash Reserve Ratio 12 percent
 2. Demand Deposits Rs 1100 billion
 3. Currency in Circulation Rs 500 billion
 4. Excess Reserves Rs 2 billion
- A. 1.95
B. 2.20
C. 2.54
D. 3.10
E. 4.00

Q3. Which of the statements given below are correct?

1. The demand curve for a normal good is generally downward sloping from left to right, indicating an inverse relationship between price and quantity demanded.
 2. Under cross elasticity of demand, the demand curve for complementary goods slopes downward from left to right, whereas for substitute goods it slopes upward from left to right.
 3. In the case of inferior goods, with respect to changes in income, the income demand curve slopes upward from left to right.
 4. In the case of normal and luxury goods, with respect to changes in income, the income demand curve slopes upward from left to right.
- A. 1 and 2 only
B. 2, 3 and 4 only
C. 1, 2 and 4 only
D. 1, 3 and 4 only
E. 1, 2, 3 and 4

Q4. Currency in hand has an opportunity cost of:

- A. The rate of inflation prevailing in the economy
- B. The transaction cost of converting cash into bank deposits
- C. The interest income foregone by not holding interest bearing assets
- D. The depreciation of currency due to wear and tear
- E. The tax liability imposed on cash holdings

Q5. Consider the following situations and identify the correct match:

1. The Reserve Bank of India increases the Repo Rate.

2. The Government decreases taxes and simultaneously increases money supply.

3. The Government increases autonomous spending and simultaneously increases money supply.

4. The Government decreases discretionary spending.

- A. Expansionary, Expansionary, Contractionary, Expansionary
- B. Expansionary, Expansionary, Contractionary, Expansionary
- C. Contractionary, Expansionary, Contractionary, Expansionary
- D. Expansionary, Expansionary, Contractionary, Expansionary
- E. Contractionary, Expansionary, Expansionary, Contractionary

Q6. Calculate National Income and Personal Income from the following data:

1. NNP at Market Price Rs 1000

2. Subsidy Rs 50

3. Direct Tax Rs 80

4. Corporate Tax Rs 70

5. Indirect Tax Rs 120

6. Miscellaneous Government Receipts Rs 40

7. Undistributed Profits Rs 60

8. Corporate Tax Rs 80

- A. National Income Rs 920; Personal Income Rs 740
- B. National Income Rs 930; Personal Income Rs 790
- C. National Income Rs 950; Personal Income Rs 720
- D. National Income Rs 970; Personal Income Rs 780
- E. National Income Rs 880; Personal Income Rs 750

Q7. Which of the statements given below is or are correct in regard to economic indicators?

1. Leading indicators are variables that tend to change before the overall economy changes, thereby signaling future economic activity.

2. Lagging indicators are variables that change simultaneously with overall economic activity and reflect the current state of the economy.

3. Coincident indicators are variables that move in tandem with the economy and indicate the current state of economic activity.

- A. 1 and 3 only
- B. 1, 2 and 3 only
- C. 1 and 2 only
- D. 2 and 3 only
- E. 2 only

Q8. Government borrowings can be considered _____ and surplus or deficit can be considered as _____.

- A. Transaction and Event
- B. Event and Attribute
- C. Attribute and Event
- D. Attribute and Transaction
- E. Transaction and Attribute

Q9. Consider the following Monetary Policy tools and identify the correct match as Direct or Indirect instruments:

1. OMO

2. CRR

3. SLR

4. Repo Rate

5. MSF

- A. Direct, Direct, Direct, Direct, Indirect
- B. Indirect, Direct, Direct, Direct, Direct
- C. Direct, Indirect, Indirect, Direct, Direct
- D. Indirect, Direct, Direct, Indirect, Indirect
- E. Direct, Direct, Indirect, Indirect, Indirect

Q10. As per consumer theory, consider the following statements:

1. Bandwagon Effect refers to a situation where the demand for a good increases because others are purchasing it, reflecting a desire to conform to social trends.

2. Snob Effect refers to a situation where the demand for a good decreases as more people purchase it, due to the consumer's desire for exclusivity.

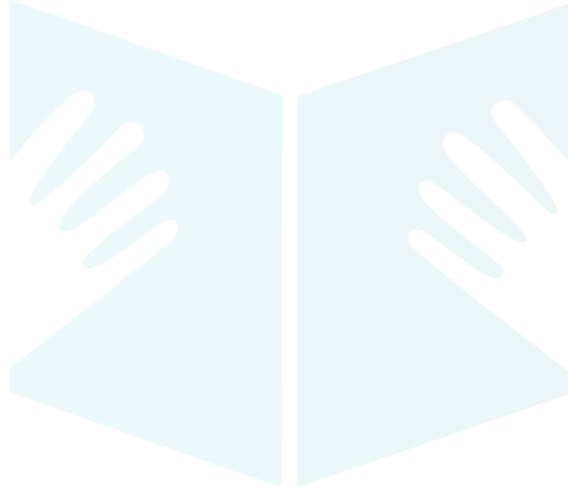
3. Veblen Effect refers to a situation where the demand for a good decreases as its price rises because the good is perceived as a status symbol.

- A. 1 and 2 only
- B. 1, 2 and 3 only
- C. 2 and 3 only
- D. 1 and 3 only
- E. 3 only

**SEBI Grade A 2025
Phase 2 - Economy
Recollected
Questions
Answer Key**

Answer Key

Question	Answer	Question	Answer	Question	Answer
1	D	2	C	3	C
4	C	5	E	6	B
7	A	8	E	9	D
10	A				



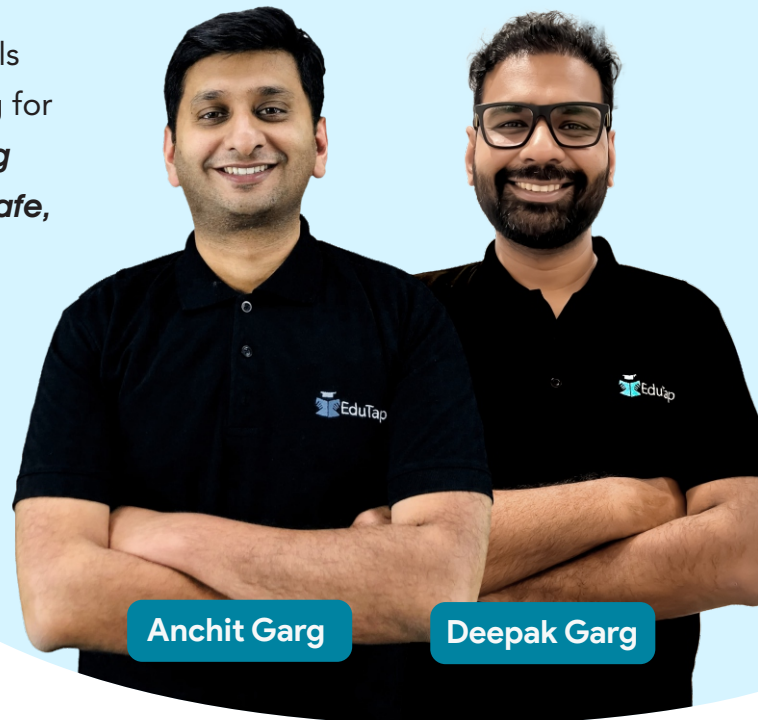
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What Next?

- 1. Identify Right Source:** Follow the best study resources (books, online courses, videos, etc.) for each topic on the list. Do not follow multiple sources for the same topic but rather follow good sources multiple times.
- 2. Topic Prioritization:** Review the document to identify key topics that require special attention. Prioritize your study schedule based on the significance of each topic in the syllabus. Ensure a balanced approach, allocating more time to critical subjects.
- 3. Width of Syllabus:** Merely going through the syllabus is not enough; Regularly revisit the document to reassess what topics actually need to be covered.
- 4. Depth of Understanding:** Recognize the varying depths at which topics should be covered. While some concepts demand a broad understanding, others require a more in-depth analysis. Tailor your study approach, accordingly, allocating more time to complex topics that demand deeper comprehension.

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We are a passionate team of experienced professionals who understand the challenges of aspirants preparing for government jobs. Our vision is to *"create a nurturing ecosystem for the aspirants so that they can feel safe, guided, and mentored."*



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